holding valuation provisions from 24 per cent of assets to 17–18 per cent of the size of assets. However, what the Committee gave away with one hand, it took away with the other. The Committee recommended that cash reserves or realized equity be raised from 4 per cent to 5.5–6.5 per cent.

The Committee further stipulated that the available provisions, if these are in excess of required provisions, would not be distributed as surplus. However, if the available provisions are less than the required provisions, the shortfall would be made up from the realized equity reserves and the surplus generated during the year.

This meant that recommended valuations reserves of 17–18 per cent would act as the minimum required before any surplus is distributed to the government.

What the ECF designed in 2015 achieved by fixing the level of provisions required for market risk at a very high level of 24 per cent, the Bimal Jalan Committee formula achieved by making valuation provisions undistributable. The whole purpose of the complex exercise of designing unnecessarily complex formulae for determining required market/valuation provisions was only one: to prevent distribution. The net result of these intellectual gymnastics is that valuation provisions are not to be touched. Period.

RBI Needs No Capital for 'Monetary, Financial and External Stability Risks'

The RBI Board decision accepting the Bimal Jalan Committee report cites 'monetary, financial and external stability risks' in view of its role as 'the monetary authority' and the 'lender of last resort' as the rationale for retaining realized equity. Realized reserves or equity are accumulated non-distributed surpluses.

A reading of the long report of the Committee makes it evident that it invented every possible excuse to hold on to as much realized